Stolt-Nielsen

INITIAL COMMENT

Key share data	
Sector	Industrials
Reuters	SNI.OL
Bloomberg	SNI NO
Market Cap (NOKm)	21,888
Net debt (NOKm)	22,398
EV (NOKm)	44,285
Net debt / equity	91%
Issued shares (mill.)	59

Last target price	385.0
Share price	374.0
Last recommendation	HOLD

Figures & Ratios (USDm)	2026E	2027E	2028E
Revenues	3,057	3,179	3,185
EBITDA	744	782	783
EBIT adj.	377	420	422
Pre-tax profit	259	294	295
Net profit	223	250	251
EPS rep. (USD)	4.2	4.7	4.7
EPS adj. (USD)	4.1	4.7	4.7
DPS. (USD)	2.0	2.0	2.0
Div. yield	5.1%	5.1%	5.1%
NIBD	2,277	2,204	2,091
EV/Sales	1.4	1.4	1.3
EV/EBITDA	5.9	5.5	5.3
EV/EBIT (adj)	11.6	10.2	9.9
P/E (adj)	9.5	8.4	8.3
P/B (excl. gw)	0.8	0.8	0.7
ROE	9 %	10 %	9 %
ROCE	8 %	9 %	8 %

not updated

Analyst

Karolis Puidokas
+370 638 100 00
karolis.puidokas@norne.no

Initial view of earnings		
vs. our estimates	vs. consensus	forecasted revisions
Somewhat weaker ↓	Boardly in line –	Slightly downward –

Bunker costs dent tankers, softer 4Q ahead

Stolt-Nielsen posted its 3Q26 report this morning, with core figures in line with consensus but somewhat below our estimates. Reported net profit was boosted by a USD 15.4m gain on the sale of 50% of Avenir LNG. Stronger spot rates in Stolt Tankers were largely offset by higher bunker costs and lower spot volumes. On a positive note, Stolt Tank Containers returned to profit as the Suttons integration gains traction. The company expects 4Q26 earnings to be modestly behind 3Q26, and we shall slightly lower our estimates for the coming quarter.

Broadly in line results with strong operations

Stolt-Nielsen delivered revenue of USD 776.5m, slightly above our and consensus estimates. Adj. EBITDA came in at USD 184.4m, in line with consensus but 4.5% below our estimate of USD 194.1m. Stolt Tankers reported operating profit of USD 52.1m, down from USD 57.2m in 3Q25 and below our expectation of USD 63m. Deep-sea spot rates rose 40.5% YoY, but bunker costs climbed to USD 718 per tonne (USD 500 in 3Q25) and spot volumes fell 22.1%. The average deep-sea TCE revenue was USD 24,121 per operating day, down 2.9% YoY but up 3.2% QoQ. Stolthaven Terminals delivered a steady operating profit of USD 27.1m, with utilisation rising to 93.6%. Stolt Tank Containers posted an operating profit of USD 13.1m, compared to a loss of USD 0.3m in 2Q26. Net debt fell to USD 2,113.5m from USD 2,357.6m, helped by the deconsolidation of Avenir LNG.

3Q/26 results USDm	3Q/25	2Q/26	3Q/26 Reported	3Q/26e Norne	Deviation	3Q/26e Consensus*
Revenues excl. JV	699.9	750.3	776.5	771.1	1%	763.2
Adj. EBITDA	**195.6**	**179.4**	**184.4**	**194.1**	**-5%**	**185.5**
Adj. EBIT	**109.8**	**89.1**	**93.4**	**103.9**	**-10%**	**96.6**
Pretax profit	77.9	60.1	92.1	72.3	27%	64.8
Net earnings	63.9	51.7	84.4	61.5	37%	55.9
EPS rep. (USD)	1.20	0.97	1.59	1.16	37%	1.23
EPS adj. (USD)	**1.25**	**0.96**	**1.46**	**1.16**	**26%**	**1.05**

*Bloomberg
**Adjusted for USD 15.4m gain on the sale of a 50% interest in Avenir LNG

Chemical tankers capture only part of the momentum

The conflict in the Middle East continues to weigh on markets, and visibility remains limited. While crude and product tanker markets have been strong, the chemical tanker market has captured only part of that momentum. Restocking needs could support demand, but constrained feedstock availability and high energy prices pose risks. The company also expects average net fleet growth of 4% annually in 2026-28. For 4Q26, Stolt Tankers is expected to be slightly softer than 3Q26. Stolthaven Terminals should stay in line with the average of the last three quarters. Stolt Tank Containers expects to maintain margins, albeit with seasonally lower volumes. Overall, the company expects 4Q26 earnings to be modestly behind 3Q26.

DISCLOSURES AND DISCLAIMER

STANDARDS AND SUPERVISORY AUTHORITY

This report has been prepared by Norne Securities AS, which is supervised by The Financial Supervisory Authority of Norway (Finanstilsynet). Industry standards issued by The Norwegian Securities Dealers Association (Verdipapirforetakenes Forbund) (www.vpff.no) have been used in preparing this report.

DISCLAIMER

This report is provided for information purposes only. It should not be used or considered as an offer to sell or a solicitation of an offer to buy any securities. This report is prepared for general circulation and general information only. It does not take into account the specific investment objectives, investment knowledge and experience and financial situation of any recipient. Investors seeking to buy or sell any securities discussed or recommended in this report, should seek independent financial advice relating thereto and make his/her own appraisal of the tax or other financial merits of the investment. Any opinions expressed are subject to change without prior notice. This report is based on information from various sources believed to be reliable. Although all reasonable care has been taken to ensure that the information herein is not misleading, Norne Securities AS makes no guarantee, representation or warranty, expressed or implied as to its accuracy, adequacy or completeness. Neither Norne Securities AS, its employees, nor any other person connected with it, accepts any liability whatsoever for any direct, indirect or incidental, special or consequential loss of any kind arising out of the use or reliance on the information in this report.

This report is intended for use only by those persons to whom it is made available by Norne Securities AS. This report may not be distributed, quoted from or reproduced, in full or in part, in any manner without written approval by Norne Securities AS.

RECOMMENDATION STRUCTURE

Norne Securities' general recommendations – Buy, Hold and Sell – are based on the expected absolute return on the financial instrument within the next 12 months, which equals to an upside to the target price, in combination with a risk profile. The target price represents the price level which the analyst expects the financial instrument to trade at within the coming 12 months. The table below shows the ranges of returns under different risk levels, based on which the recommendation is being determined:

	Total return next 12 months (upside to target price)		
Risk	Buy	Hold	Sell
Low	> 10%	2% - 10%	< 2%
Medium	> 15%	3% - 15%	< 3%
High	> 25%	5% - 25%	< 5%

Our risk assessments range from "high risk" to "medium risk" and "low risk" and are based on a subjective assessment of the following factors: 1) volatility in the share price, 2) liquidity in the share, 3) strength of the balance sheet, 4) absolute earnings level and trend and 5) estimate risk.

Share prices used in the report are as of market close on the last trading day if the report is being published before the stock market opening, or market price within 15 min. before the publication if the report is published during the trading hours of the Oslo Stock Exchange.

TARGET PRICE AND UPDATES

Target prices may be based on one or several valuation methods, for instance, the discounted cash flow (DCF) analysis or applying "fair" pricing multiple(s) based on historical valuation or peer pricing level. Target price may not necessarily equal to the "fair value" of the financial instrument – certain discount or premium is possible due to various reasons, depending on the analyst's view of what the price may be within the 12 months period. Norne Securities plans to update the recommendation based on the following events: the target price is achieved; new accounting figures are released; any significant news on the company or its industry is announced.

DISCLOSURE OF INTERESTS

Norne Securities AS may at any time perform investment banking or other services or solicit investment banking or other mandates from the company or companies covered in this report. Norne Securities AS may hold positions in securities covered in this report due to its own-account trading that is part of its investment services operations, such as market making. Norne Securities AS has appointed and may at any time appoint tied agents to provide investment services on behalf of Norne Securities AS. Tied agents are listed in the public registry of the Norwegian Financial Supervisory Authority, and an updated overview of appointed tied agents of Norne Securities AS can be found on Compliance | Norne Securities.

PREVENTING CONFLICTS OF INTEREST

Norne Securities AS has arrangements in place with the aim of preventing conflicts of interest. As part of these arrangements, Norne Securities AS has established information barriers between different parts of the company to restrict and control the exchange of sensitive information. No direct link exists between remuneration of the Norne Securities AS analysts and investment banking services provided by Norne Securities AS, but analysts may receive a bonus under the firm's general bonus scheme. Under our internal regulations, which have been prepared in accordance with applicable legislation and relevant industry standards, our analysts are not permitted to purchase new securities in the companies they cover.

POTENTIAL CONFLICTS OF INTEREST
This report has not been presented to the issuer before dissemination for a check of factual information.

Obligation to provide information about employees' own holdings, cf. Securities Regulations § 3-10 (2) and § 3-11 (1) lit. a and b. Information on holdings of listed financial instruments that the employees of Norne Securities AS own is provided on request.

Distribution of Norne Securities' recommendations during three months up till June 30, 2026:

	Buy	Hold	Sell
Total	52	60	17
% of total	40%	47%	13%
Corporate clients*	18	28	14
% of corporate clients*	30%	47%	23%

* Includes publicly disclosed not immaterial investment banking services or issues of financial instruments where Norne Securities AS has been lead manager or co-lead manager, and market making clients during the 12 months prior to the overview date.

CAUTIONARY NOTE REGARDING RISK
An investment in the company involves risk, and several factors could cause the actual results, performance or achievements of the company to be materially different from future results, performance or achievements that may be expressed or implied by statements and information in this presentation. Including, among others, risk or uncertainties associated with the company's business segments, development, growth management, financing, market acceptance and relations with customer, and more generally, general economic and business conditions, changes in domestic and foreign laws and regulations, taxes, changes in competition and pricing environment, fluctuations in currency exchange rates and interest rates and other factors. Should one or more of these risks or uncertainties materialise, or should underlying assumptions prove incorrect, actual results may vary materially from those described in this document. Past performance is not a guide to future performance. Investing in securities may result in a loss of all or part of the investment.

DISTRIBUTION RESTRICTIONS
This report is not intended for and must not be distributed to private customers in the UK or US. Norne Securities AS and its employees are not subject to the Rules of the Financial Industry Regulatory Authority (FINRA) governing research analyst conflicts. The research reports are intended for distribution in the United States solely to "major U.S. institutional investors" as defined in Rule 15a-6 under the United States Securities Exchange Act of 1934, as amended and may not be furnished to any other person in the United States. Each major U.S. institutional investor that receives a copy of a Norne Securities AS research report by its acceptance thereof represents and agrees that it shall not distribute or provide copies to any other person. Reports are prepared by Norne Securities AS and distributed to major U.S. institutional investors under Rule 15a-6(a)(2).

COPYRIGHT
This report may not be duplicated, photocopied or otherwise reproduced, in full or in part, under applicable copyright laws.

THIS REPORT IS SUBJECT TO NORWEGIAN LAW, AND ANY DISPUTE ARISING IN RESPECT OF THIS REPORT IS SUBJECT TO THE EXCLUSIVE JURISDICTION OF NORWEGIAN COURTS.